



Online business' like Zynga along with many others are opening themselves up to Bitcoin payments.

authenticity of their numbers. This form of currency coding, unlike serial numbers on paper currency, is highly secure due to its unique identification on the Bitcoin registry that validates the coin instantly for online transfers.

Bitcoins are created on the Bitcoin network through the act of “mining” which we cover in greater detail in subsequent chapters. However, the term “mining” refers to the act of discovering Bitcoins through applied effort (computational) on the Bitcoin network similar

to the act of mining for gold or other precious commodities. The computational effort taken by “miners” on the network is reflected by the solving of complex mathematical problems which requires brute force processing power and therefore is an investment of time and energy.

The mathematical problem is a “proof of work” solution that result in the awarding of Bitcoins to the miner and the creation of new blocks. The difficulty of these problems can vary based on the strength of the network as well as the proportionate reward of Bitcoins. The network is based on an open source peer distributed software that has rigid parameters that govern the payoff. The system is designed to be easier during the start of the process, resulting in larger payoffs, and reduces by half every four years that the Bitcoin network is active. So a solution in 2010 would have yielded twice as many Bitcoins as it does in 2014 and will yield half as many Bitcoins in 2018 and so on.

The system is designed on a transparent mathematical system that can be predicted to create a finite number of Bitcoins in its running time. The approximate number of Bitcoins generated in the first four years of operations or 210,000 blocks, from January 2009 to November 2012 was 10,499,889.80231183 and will result in half as many more by December 2016. By this count the currency supply will gradually and incrementally keep increasing until it hits a fixed ceiling beyond which more Bitcoins